



How Does UPI Actually Work?

What Happens After You Scan a QR Code?



Presented by

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Secure



Instant



For Everyone

You Scan. You Pay. But What Actually Happens?

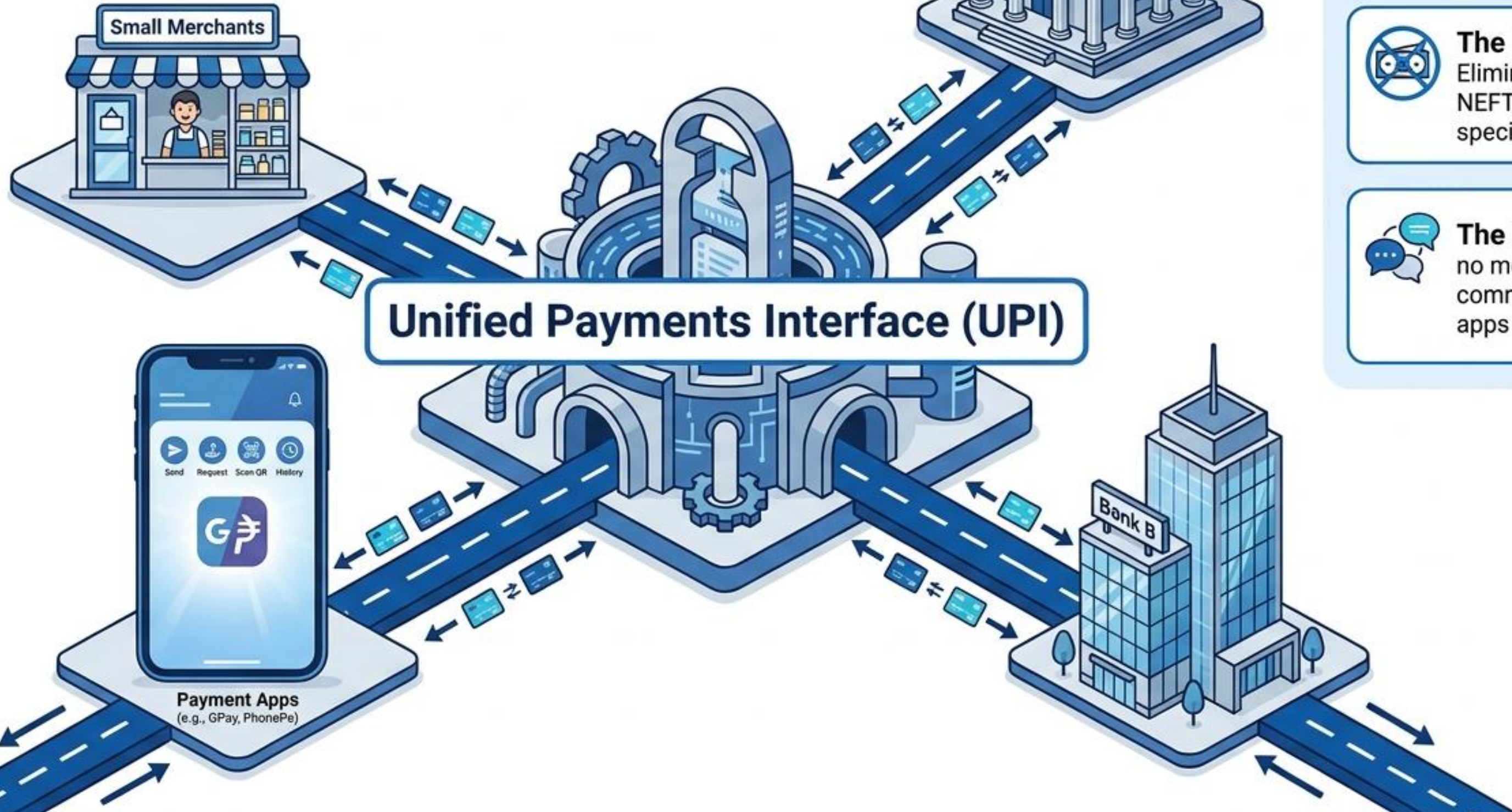
The Physical

The Digital

₹500

A ₹500 payment. A few seconds.
An entire invisible network.

UPI Is Not a Wallet. It's a Payment Network.



The Foundation (2016):

Built by NPCI for instant, interoperable bank-to-bank transfers.



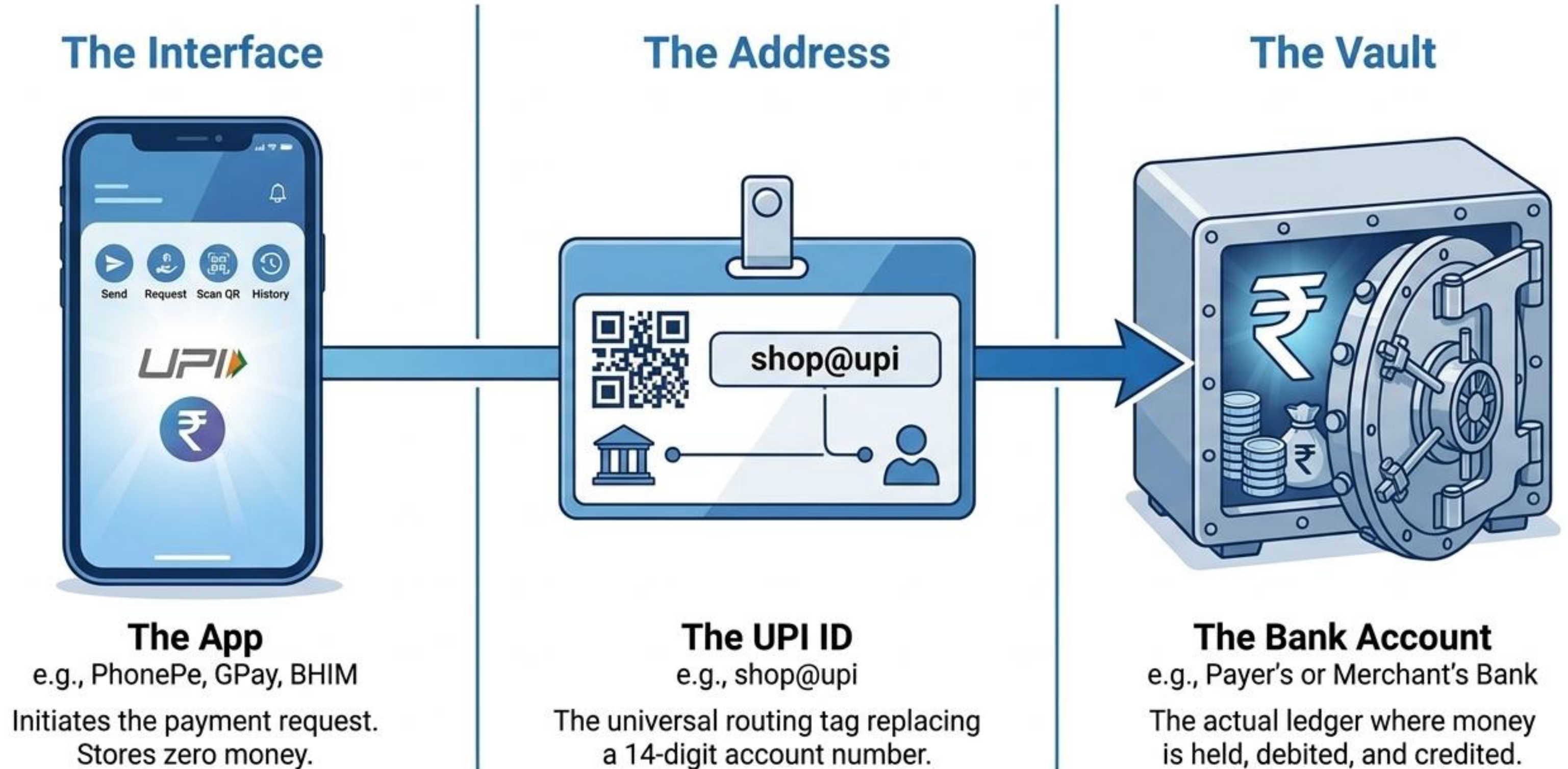
The Problem Solved:

Eliminates the need for NEFT routing, exact cash, or specific card machines.

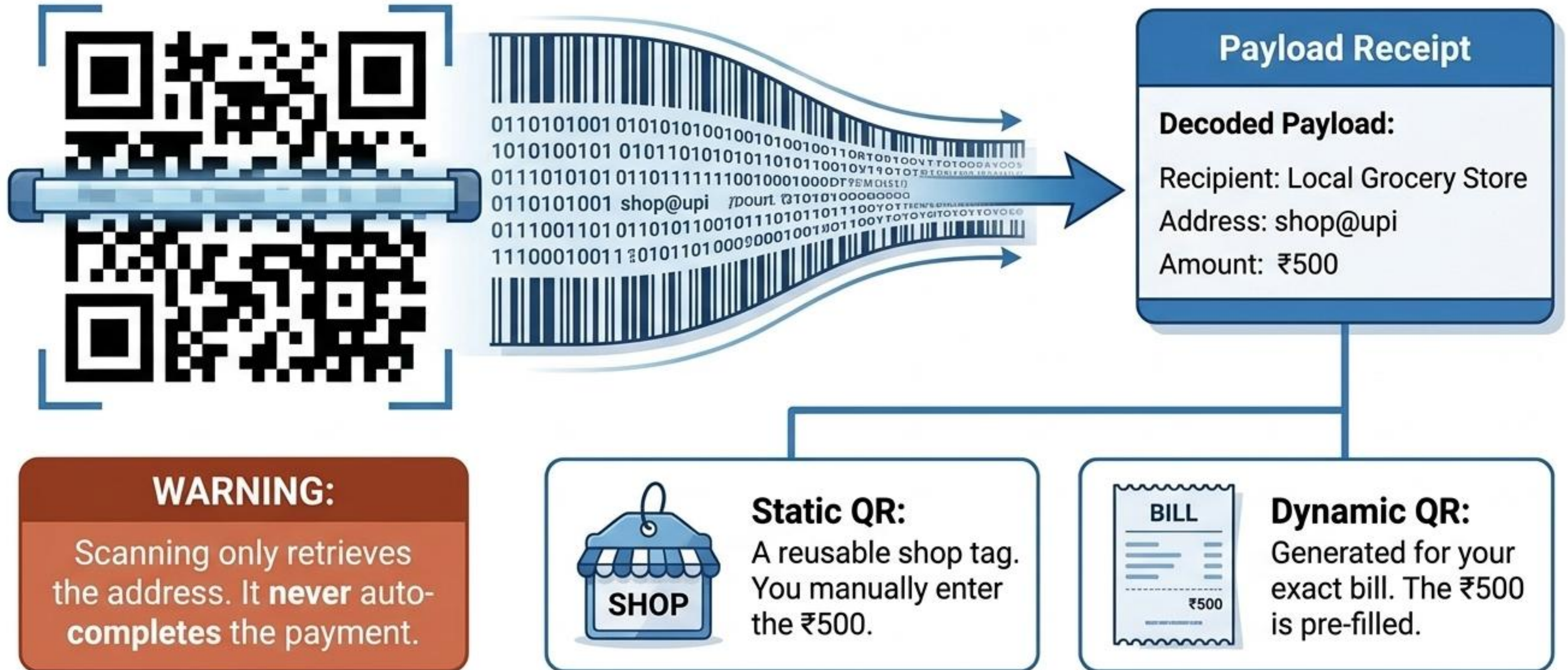


The Reality: UPI holds no money. It provides the common language for apps and banks.

Your App Is Not Your Bank. Your UPI ID Is Not Your Account.



A QR Code Is an Address, Not the Money.



Meet the Invisible Players Behind Your Payment.

Reserve Bank of India (RBI)

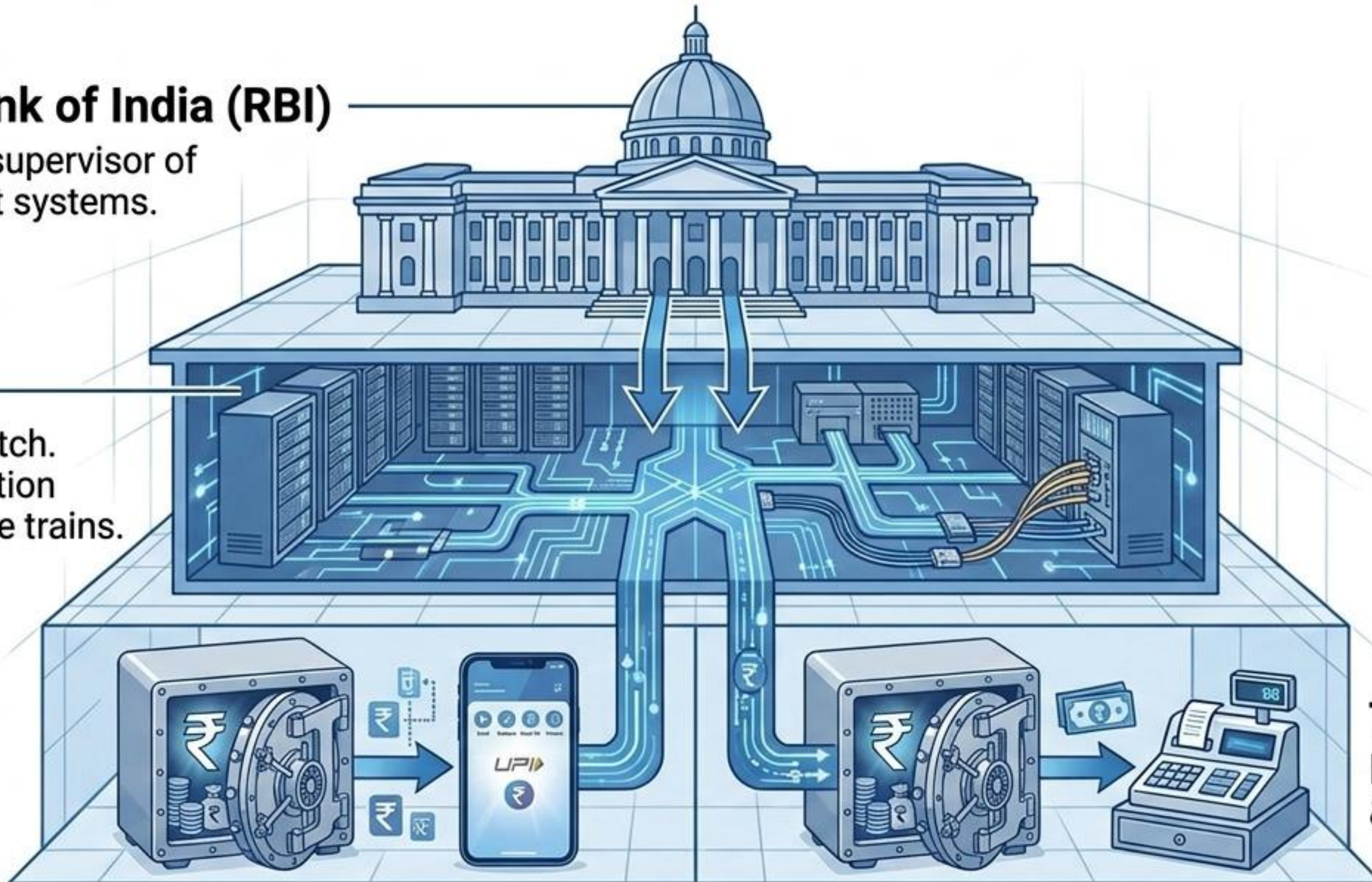
Regulator and supervisor of India's payment systems.

NPCI

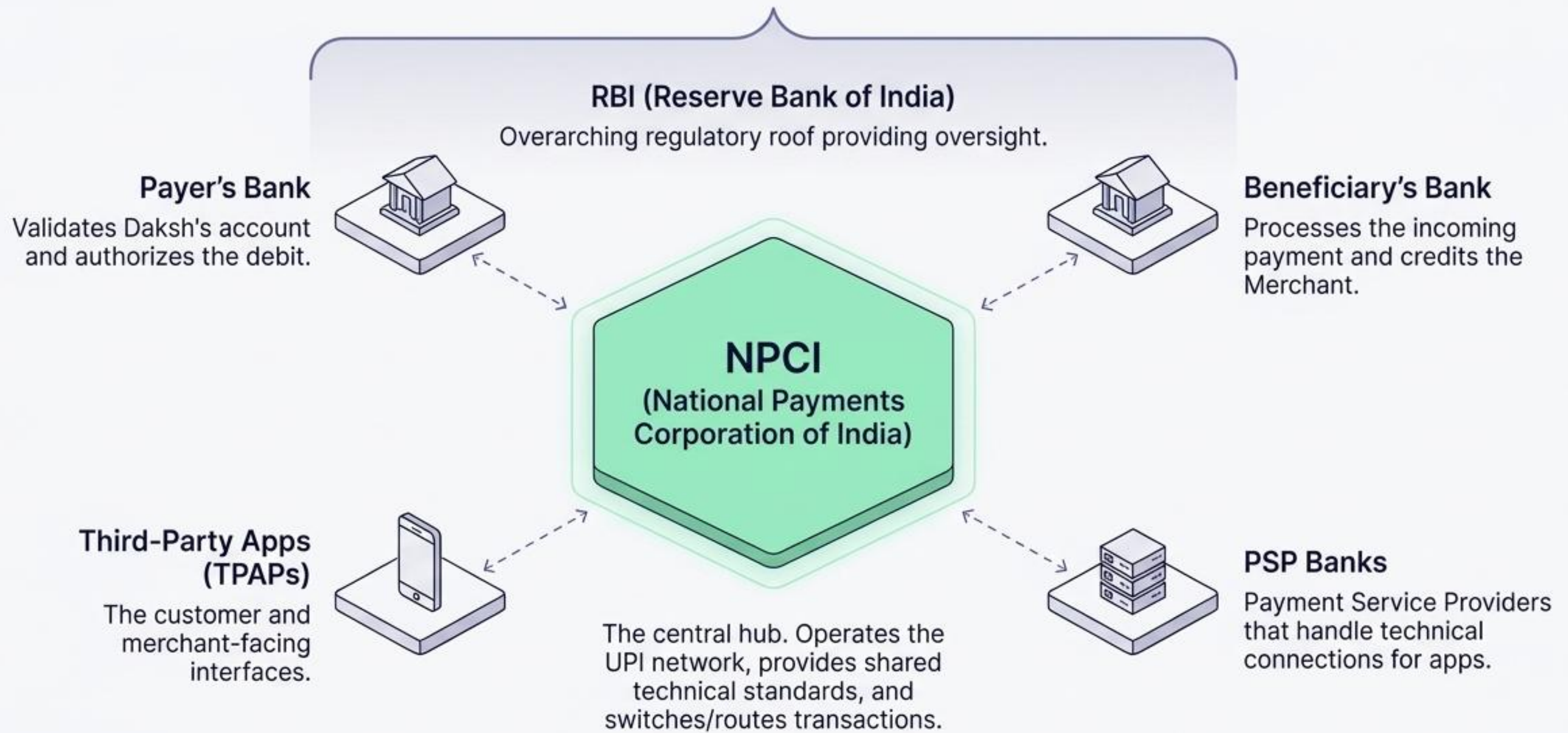
The central switch.
The railway station coordinating the trains.

The Sender:
Payer's Bank
& PSP App

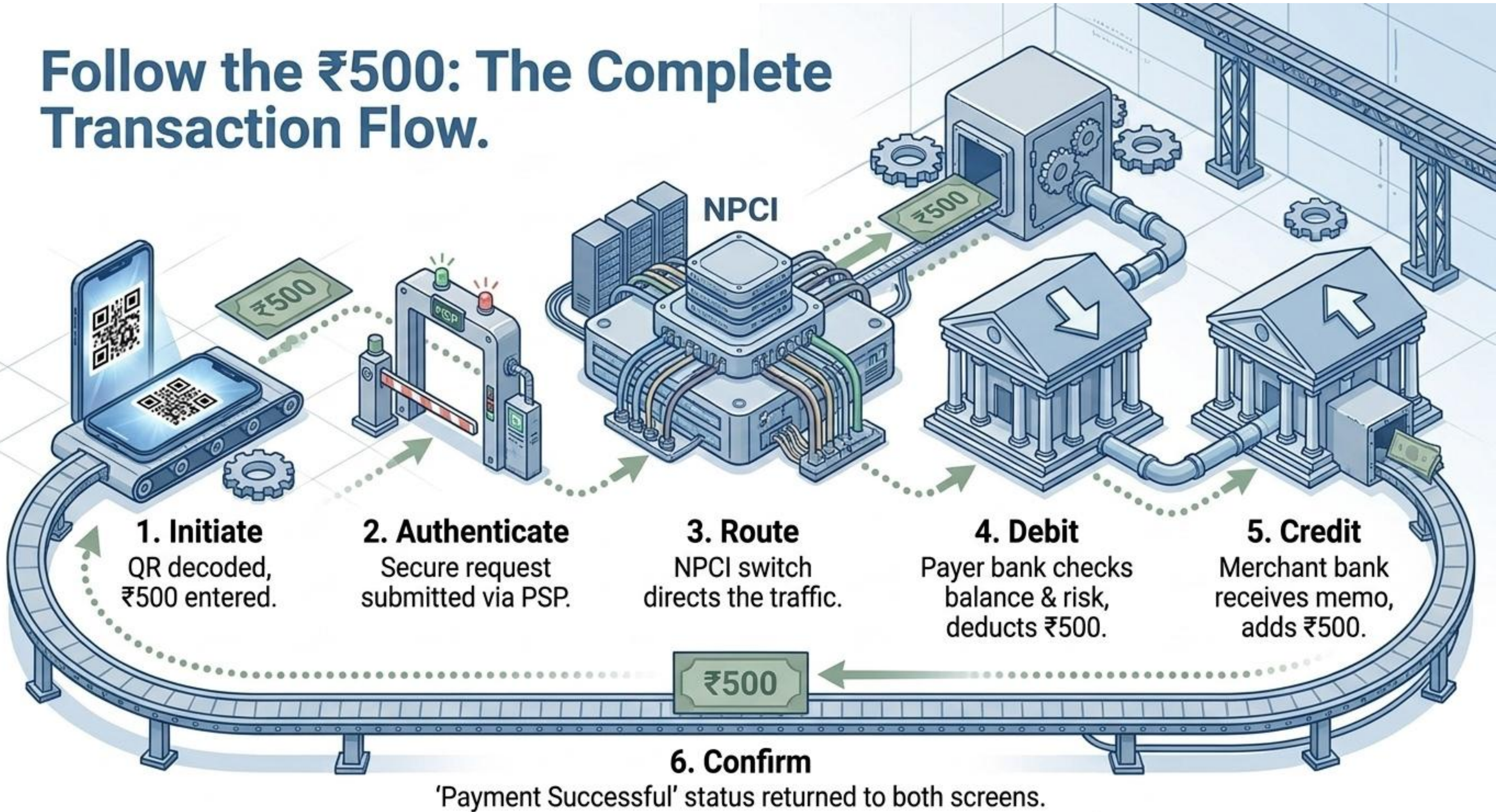
The Receiver:
Merchant's Bank
& PSP App



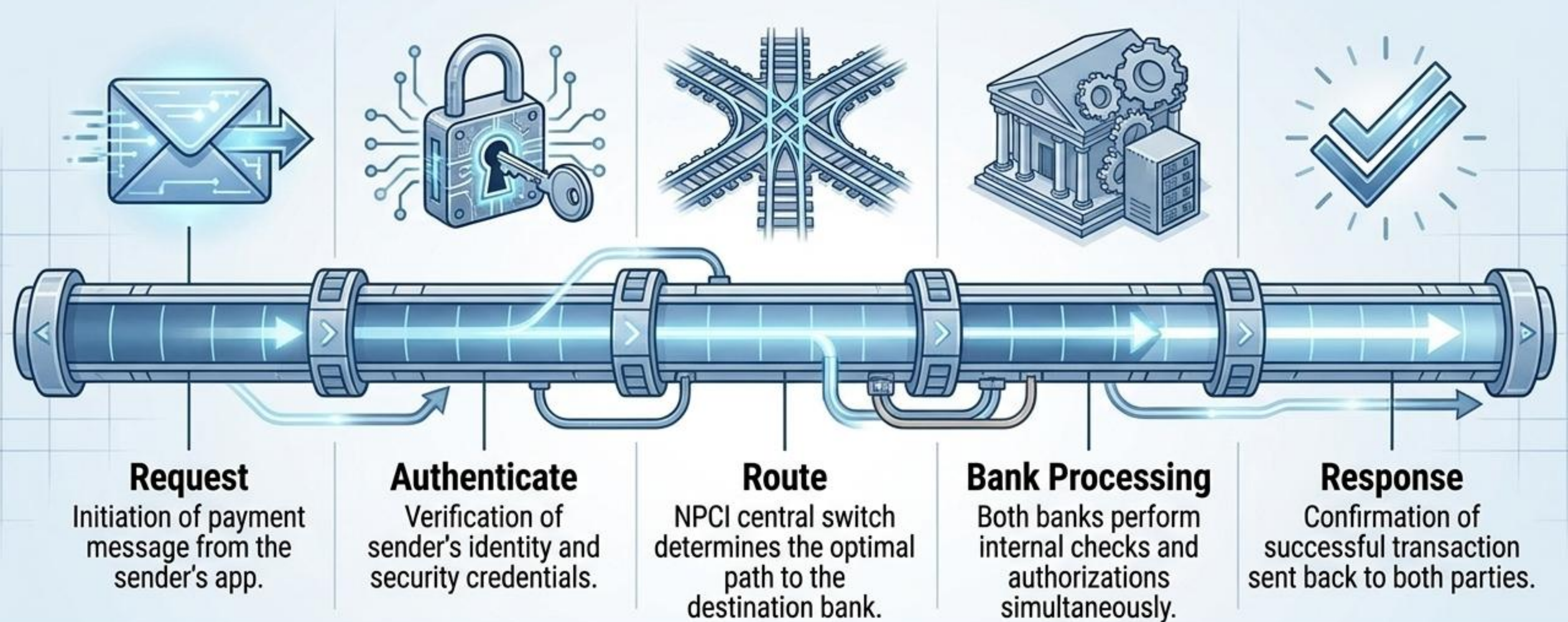
The actual vaults that authorize and process the money, and the digital agents connecting them.



Follow the ₹500: The Complete Transaction Flow.



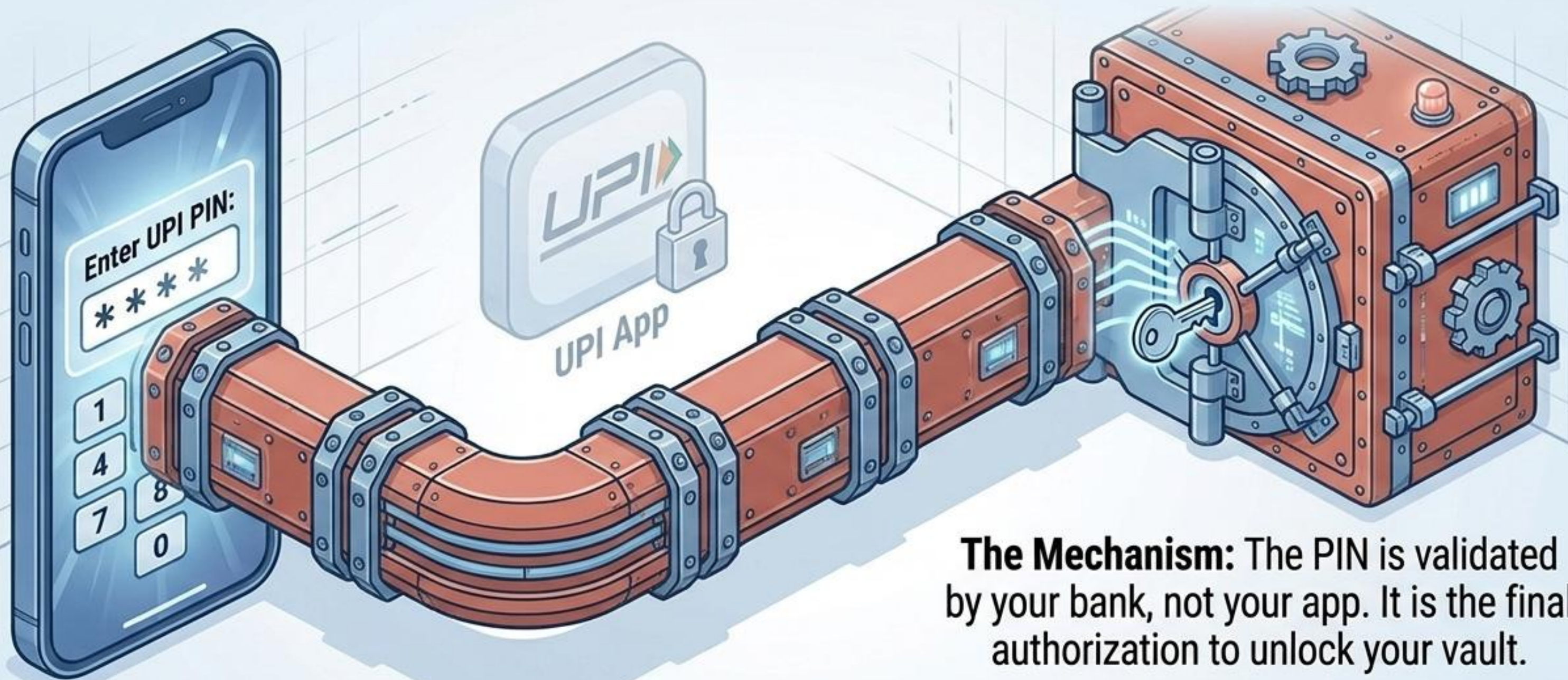
The Few Seconds That Make Instant Payments Possible.



Why is it so fast?	Standardized Language	Electronic Routing	Always-On Design
	Banks and apps use common NPCI technical rules, eliminating manual translation.	Instructions are handled entirely by automated servers, not human batch processors.	The architecture operates 24/7, ignoring traditional banking hours.

Note: 'Instant' means instant response. Actual interbank financial settlement happens later.

Your UPI PIN: The Digital Key to Authorizing a Payment.



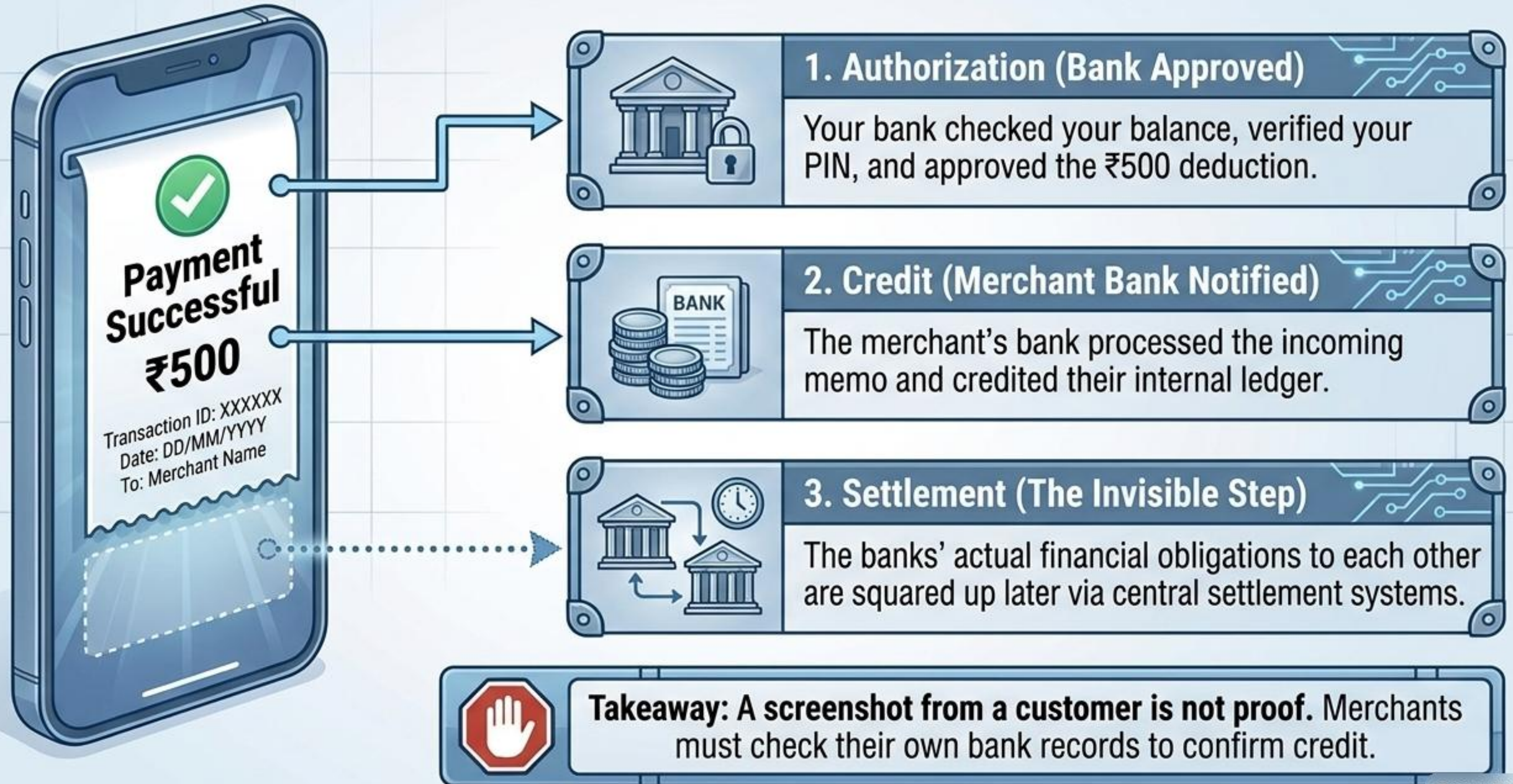
The Mechanism: The PIN is validated by your bank, not your app. It is the final authorization to unlock your vault.



SECURITY RED LINES: NEVER share your PIN with anyone, including bank representatives. NEVER enter your PIN to receive money. Receiving money requires zero action on your part.



What Does 'Payment Successful' Actually Mean?



Your Money Is Debited. But Where Did It Go?

The Scenario: ₹500 left your bank, but the merchant app shows nothing.



The Biggest Weakness Can Be Human Trust.



Fake Collect Requests

"Enter PIN to receive your refund." (Reality: You authorize a debit).



Fake Customer Care

Callers asking for OTPs or PINs to "unblock your account."



Malicious QR Codes

A sticker placed over a real QR code, routing the ₹500 to a scammer.



Screen-Sharing Scams

Downloading apps that let scammers view your device and OTPs.



Fake Refund Links

Malicious links mimicking official business portals.

THE FINAL FIREWALL: The network is secure; the human holding the phone must verify the recipient name before every PIN entry.

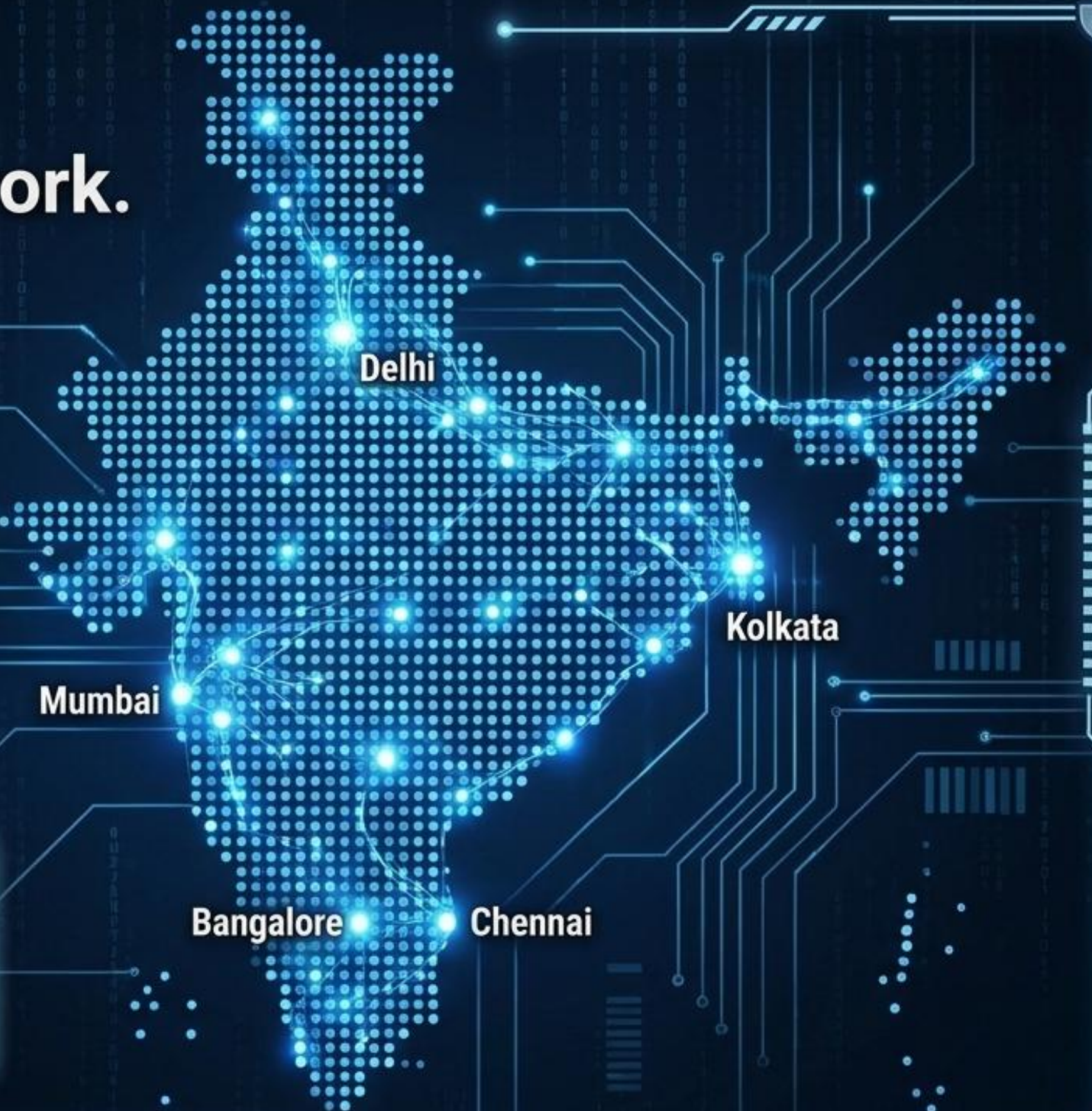
**From One QR Code to a
Nationwide Payment Network.**

~25 Billion
Transactions / Month

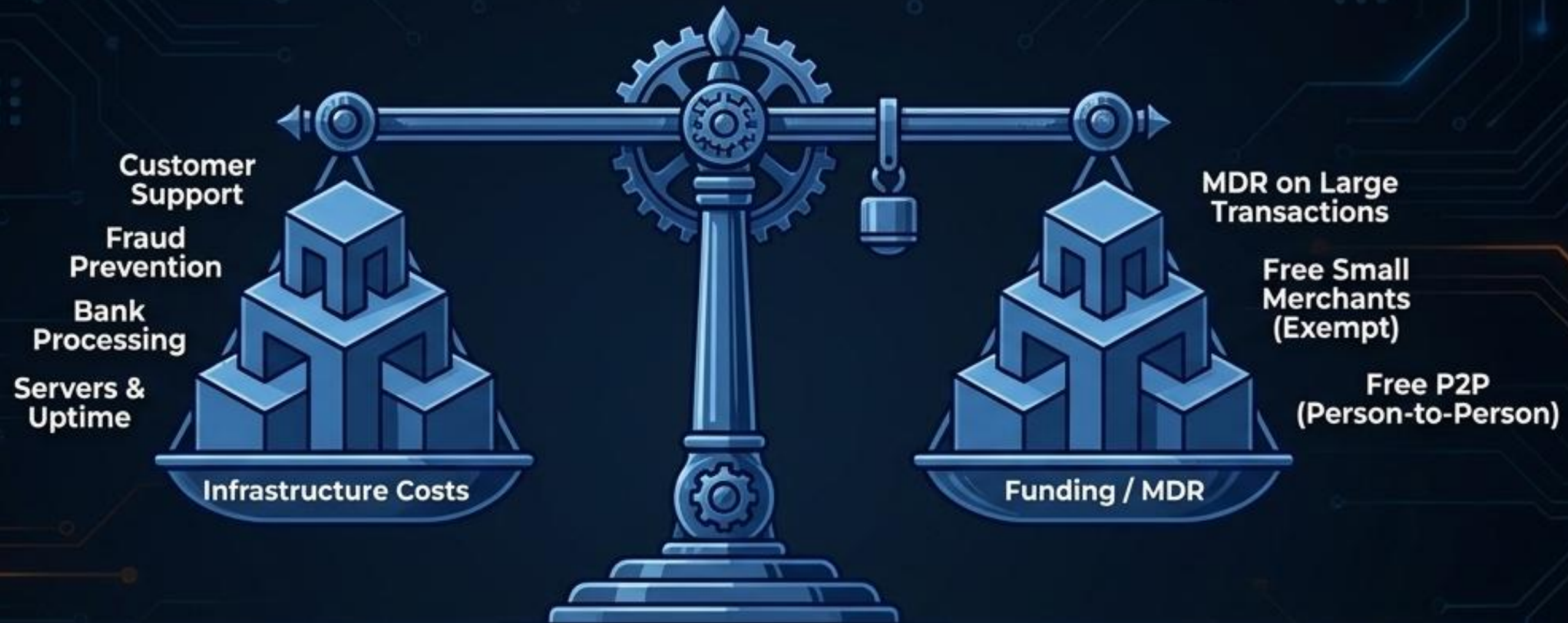
₹30+ Trillion
Transferred Monthly
(Reported figures: August 2026)

The Real Impact:

Interoperability brought street vendors, small shops, and online mega-retailers onto the exact same unified system. A massive shift from cash-heavy friction to digital-first commerce.



If UPI Is Free for You, Who Pays for It?



Announced MDR Framework (Oct 2026)

Person-to-Person (P2P):
Remains 100% Free.

Most Small Merchants:
Remain unaffected
(exemptions apply).

Higher-Value Merchants:
Subject to a merchant-side
MDR to fund the infrastructure.

UPI Is No Longer Just About Scanning a QR Code.



UPI Lite

Pre-funded on-device balances for lightning-fast, PIN-less micro-transactions.



Tap & Pay

Utilizing NFC hardware to simply tap a phone to a terminal, skipping the camera entirely.



UPI Mandates

Authorizing recurring, automated deductions for subscriptions or bills.



International Acceptance

Expanding the QR infrastructure across borders via selected global banking partnerships.

One Simple Scan. An Entire Digital Infrastructure.



It is not just an app. It is **Digital Public Infrastructure**—an interoperable bridge connecting people, banks, and businesses through a single, shared system.

*The next time you scan a QR code for ₹500,
remember the invisible network working behind the scenes.*



THANK YOU!

The future belongs to those who **build it continuously.**



START TODAY.
Take the first step.



STAY CONSISTENT.
Small steps, big results.



BUILD ONE PROJECT
at a time.



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